Controlled source file

Calderfield Industries

Kestrel Health Network 5.10% Senior Revenue Notes, Series 2026A

Record item	Value
Case reference	CFI-KHN-2026-0515
Compiled	15 May 2026, 16:30 CT
Evidence cutoff	15 May 2026, 16:30 CT. No later information is part of this record.
Approval timing	Investment Committee approval slot: 18 May 2026. Committee packet closes 15 May 2026 at 17:00 CT.
Use	Source record for controlled pre-trade assessment. Contains the held draft, terms, policy evidence, financial comparison, and frozen Illinois snapshot.

Record index

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Sensitivity note: this case file includes limited contact and settlement-routing information for operations. Those details are not part of the compliance decision unless a control explicitly calls for them.

Transaction Term Sheet

Table A | Proposed purchase

Field	Controlling term
Buyer	Calderfield Industries
Issuer / obligor	Kestrel Health Network
Instrument	Kestrel Health Network 5.10% Senior Revenue Notes, Series 2026A (the Notes)
Principal Amount	$12,000,000.00
Quoted clean price	99.375% of principal
Accrued interest	$24,650.00; add to clean-price amount. No other fee or adjustment is supplied for this trade.
Purchase-price convention	Transaction Cost = Principal Amount x (Quoted clean price / 100) + Accrued interest.
Trade Date	18 May 2026
Settlement Date	20 May 2026 (ordinary T+2 settlement for this proposed purchase)
Maturity Date	31 July 2026
Rating	S&P; Global Ratings: A, observed 15 May 2026
Use of proceeds	General corporate and capital program purposes as stated in the offering materials.

Term confirmation

The proposed purchase is a secondary purchase of the Notes for Calderfield's corporate investment portfolio. The trade-date-to-maturity tenor is calculated in calendar days from the Trade Date. The term sheet does not give the holder a right to accelerate principal.

Pending Draft and Legal Review Hold

Document: preliminary trade compliance note | status: held draft

Draft field	Pending wording
Proposed conclusion	May proceed. The Notes are liquid because 74 days remain to maturity, which is below the usual 90-day guideline. All policy conditions are met; no exception escalation is needed.
Liquidity support	No definition stated. No discussion of redemption, holder put, permitted-transferee limits, issuer consent, notice, settlement, or dealer evidence.
Approval treatment	No reconciliation of Policy section 8.4 (exceptions should be escalated) with the Approval Matrix (required review for an exception presented for approval).

Review hold - Jelena Markovic, Legal Counsel | 15 May 2026

I am holding the draft. Calling the Notes 'liquid' is not decision-ready until the record says whether it means cash available that day or saleability, and then applies the transfer terms. The under-90-day shorthand does not answer that question. The recommendation must also take a position on the policy's 'should' language and the matrix's 'required' review before the 18 May approval slot.

Required replacement record

Legal requests one controlled disposition for the proposed purchase, a source-bound liquidity application, a reconciled escalation reading, comparative-period analysis, and a concise record of changes. The replacement should omit personal contact and settlement-routing details unless needed for a defined control.

Stakeholder Correspondence and Timetable

Table B | Relevant messages

Date / record	Relevant message
15 May 2026 | Jelena Markovic, Legal Counsel	Hold remains in place pending a controlled conclusion. Please do not substitute a separate legal opinion; none can be completed before the committee packet closes.
15 May 2026 | Anton Reed, Fixed Income Sales Agent	The normal dealer-depth study cannot be completed today. Horizon's desk supplied only limited indicative interest; there is no committed bid, depth report, executable price, or guaranteed execution.
15 May 2026 | Grace Imani, Treasury Director	The packet must be complete by 17:00 CT today for the 18 May committee slot. If an exception is presented, route it using the Approval Matrix before the trade is released.
15 May 2026 | Lila Chen, Compliance Officer	Use the frozen Illinois snapshot in this file only. Confirm purchaser-status paperwork and the required legend / retention controls; do not add live legal research to this packet.

Work boundary

The source record is complete as of the evidence cutoff. It does not contain a completed dealer-depth study or a separate legal opinion. Any assessment must use the documented terms and limited market evidence as a fallback, state that limitation, and not portray a later or live check as completed.

Investment Policy Excerpt

Calderfield Corporate Investment Policy | effective 1 January 2026

Section 4.2(d) Permitted investments. Investment-grade revenue notes issued by U.S. health care providers are permitted only when the instrument is **liquid**, has a remaining maturity of no more than 180 calendar days on the trade date, and carries an S&P Global Ratings rating of at least A-. The policy does not define 'liquid.'

Section 5.1 Concentration. No issuer exposure may exceed 7.50% of the post-trade Portfolio Value. No health care sector exposure may exceed 30.00% of the same post-trade Portfolio Value.

Section 5.3 Liquid reserve. Qualifying liquid reserves must equal at least 18.00% of post-trade Portfolio Value. For a proposed purchase, use purchase cost for the new position. When invested cash is exchanged for a security at settlement, post-trade Portfolio Value remains the pre-settlement Portfolio Value, absent another stated change. Apply this same post-trade Portfolio Value to sections 5.1 and 5.3.

Section 8.4 Exceptions. Exceptions **should** be escalated to Legal and Compliance before trade. An approved exception is not ordinary policy compliance.

Table C | Test conventions

Test	Policy convention
Instrument value	Use purchase cost; do not substitute face value for policy ratios.
Post-trade Portfolio Value	Use the same immediately post-settlement Portfolio Value for issuer, sector, and reserve ratios.
Liquidity classification	No glossary definition is supplied. Apply the selected reading to the instrument and reserve calculation consistently for the assessment.
Exception trigger	A revenue note that does not satisfy section 4.2(d)'s liquidity qualification is an exception.

Approval Matrix and Exception Routing

Approval Matrix v3.1 | controlling workflow for a transaction presented for approval

Control event	Required role / action	Timing / release point
Initial escalation	Fixed Income Sales Agent routes an identified exception to Legal Counsel and the Compliance Officer.	Before the exception is presented for final approval.
Exception review	Legal Counsel and Compliance Officer: **Required review** for an exception presented for approval.	Before final approval.
Final exception approval	Investment Committee Chair and Corporate Treasurer: joint final approval.	After required reviews; before trade release.
Trade release	Fixed Income Sales Agent may release the order only after the listed final approval is recorded.	Before trade.
Ordinary policy-compliant trade	Treasury Director approves under standard delegated authority.	Before trade.

Interpretive issue in this record

Section 8.4 uses the advisory word 'should' for exceptions. The matrix uses 'Required review' for an exception presented for approval and separately specifies a final approval and trade-release gate. The materials do not state a formal hierarchy between the prose section and the matrix. The assessment must adopt and explain one reading; it must keep initial escalation, required Legal / Compliance review, and final approval distinct.

Portfolio Snapshot and Pre-Trade Balances

Treasury valuation extract | 15 May 2026 | values at purchase-cost basis unless stated

Measure	Amount / treatment
Pre-settlement Portfolio Value	$600,000,000.00
Post-trade Portfolio Value	$600,000,000.00. Proposed cash investment does not change the denominator under section 5.3.
Existing Kestrel issuer exposure	$31,850,000.00
Existing health care sector exposure	$161,500,000.00
Cash available before proposed purchase	$48,000,000.00
U.S. Treasury bills qualifying as same-day known-value liquidity	$72,000,000.00
Qualifying liquid reserves before proposed purchase	$120,000,000.00 (cash plus Treasury bills)
Reserve threshold	18.00% of Post-trade Portfolio Value

Portfolio calculation instruction

For the proposed purchase, add Transaction Cost once to the existing issuer and health care balances. Reduce qualifying liquid reserves by Transaction Cost when the Notes are classified non-liquid under the selected assessment reading; include the Notes only if they qualify under that same selected reading. Do not double count cash or the purchased Notes. Round displayed percentages to two decimal places and headroom to two decimal percentage points.

Note Terms and Marketability Evidence

Table D | Liquidity-relevant terms and evidence

Source item	Record fact
Note section 3.1 - principal	Principal is payable at maturity on 31 July 2026. The holder has **no contractual same-day redemption** or other right to access principal before maturity.
Note section 3.4 - demand rights	The Notes provide **no holder put, demand, or comparable acceleration feature**. Optional redemption belongs to the issuer only and requires 10 business days' notice.
Note section 7.2 - permitted transferees	A transfer may be made only to a Qualified Institutional Buyer or an institutional accredited investor acquiring for its own account, subject to purchaser-status documentation.
Note section 7.3 - transfer mechanics	Transfer requires issuer prior written consent, not to be unreasonably withheld, and delivery of a purchaser certificate with at least 3 business days' prior written notice to the trustee.
Horizon Markets email | 13 May 2026	A regional institutional desk would consider a $5-8 million piece at an **indicative** level, subject to Kestrel credit review, eligible-purchaser documents, issuer consent, and normal T+2 settlement. The message is not a quote, committed bid, execution commitment, depth study, or price guarantee.
Sales Agent note | 15 May 2026	Two institutional channels were identified, but neither was contacted for executable depth because the normal dealer-depth study cannot be completed before the packet deadline.

The 20 May 2026 settlement date is the proposed purchase's ordinary T+2 settlement. It is not evidence that a holder could obtain same-day known-value cash on a resale. No market evidence in this record guarantees an executable sale or a realized price.

Issuer Comparative Financial Evidence

Kestrel Health Network | audited fiscal years ended 31 December

Metric	FY 2024 ended 31 Dec 2024	FY 2025 ended 31 Dec 2025	Change convention
Revenue	$401.0 million	$428.4 million	Absolute and relative change
Operating margin	5.6%	4.2%	Percentage-point change
Debt-service coverage	1.58x	1.36x	Ratio change
Days cash on hand	104 days	86 days	Day change
Unrestricted cash	$94.5 million	$78.6 million	Absolute and relative change
Accounts receivable days	52 days	61 days	Day change

Internal material-change convention

Metric class	Flag as material when
Revenue and unrestricted cash	Relative change is 10% or more.
Operating margin	Movement is 1.0 percentage point or more.
Debt-service coverage	Movement is 0.20x or more.
Days cash on hand	Movement is 15 days or more.
Accounts receivable days	Movement is 10 days or more.

Use this local convention for the comparison. It is a reporting flag, not a new policy limit.

Management Commentary on Period Movements

Kestrel management discussion | 12 May 2026

Revenue. FY 2025 revenue growth reflected the first full-year contribution of the Northgate ambulatory acquisition and higher outpatient volumes. Management expects the acquired operations to remain part of the network, but no forecast is included in this record.

Margin. Operating margin declined as labor expense and integration / start-up costs at Northgate increased. Management has begun staffing and procurement actions, but the record provides no completed savings evidence.

Cash and receivables. A commercial-payer collection timing issue and an ERP claim-edit conversion extended accounts-receivable days and delayed cash receipts. Management characterizes the claim-edit backlog as temporary and expects normalization during Q3 2026; the record contains no subsequent collection or cash-recovery results.

Coverage. Debt-service coverage declined as lower operating income and interest expense on 2025 capital projects affected the calculation. Management identifies cost actions and collection normalization as mitigants, but neither is evidenced as completed by the cutoff.

Treasury analyst note | 14 May 2026

The evidence supports a mixed view: revenue growth has an identified operating source, while margin pressure, cash decline, and lower coverage are current adverse movements. The claimed temporary explanation for the claim-edit backlog is not independently resolved in the case record.

Frozen Illinois Requirements Snapshot

Illinois institutional transaction requirements | frozen as of 15 May 2026

This snapshot is the complete Illinois requirements source for this case. It is frozen as of 15 May 2026 and is not a substitute for live legal research.

Snapshot condition / statement	Case application record
Institutional transaction exemption	A sale is exempt from registration when made to an institutional purchaser acting for its own account and not for distribution, with purchaser status documented in the transaction file.
Purchaser status	Calderfield's signed Institutional Purchaser Certificate dated 15 May 2026 states that it is a corporation with total assets exceeding $10 million, is acquiring for its own investment account, and is not acquiring for distribution.
Documentation and legend	Seller must obtain and retain the purchaser certificate and transaction record for five years. The confirmation and transfer record must carry the institutional-transaction exemption legend.
Offering route	The exemption applies only where the sale is not made by general solicitation. The Sales Agent record identifies an existing dealer relationship and no public advertising for this proposed purchase.
No state merit approval	An exemption is not Illinois approval, endorsement, recommendation, or a guarantee of investment merit.
Continuing conduct rule	Illinois anti-fraud obligations continue to apply notwithstanding an exemption.
Liquidity scope	This frozen snapshot supplies no separate controlling liquidity definition or market-depth test for this decision.

The snapshot does not address live market quality, post-trade liquidity classification, or the relative force of Calderfield policy and approval materials.

Operations Record Excerpt and Source Provenance

Operational record | decision-relevant confirmation controls

Record	Relevant content
Sales Operations Manager checklist | 15 May 2026	Before trade release, Sales Operations Manager must file the signed Institutional Purchaser Certificate, verify the institutional-transaction exemption legend is queued for the confirmation and transfer record, and retain the transaction file. This checklist does not authorize the trade.
Fixed Income Sales Agent checklist | 15 May 2026	For an identified policy exception, use the Approval Matrix route and do not release an order before required final approval is recorded.
Settlement routing excerpt	Northern Vantage Bank; account reference 9234-710-285; operations contact: Mara Elson, 312-555-0148. Retained only for settlement processing; not relevant to the Legal compliance decision.
Source provenance	Term sheet, note excerpts, portfolio valuation extract, stakeholder messages, Kestrel audited financial packet, management discussion, policy excerpt, Approval Matrix v3.1, Illinois snapshot, and operations checklists were assembled in this controlled file.

End of controlled record

All assessment facts, calculations, and requirements must be derived from this case record. No independent dealer-depth study, separate legal opinion, live rating check, or later market observation has been added.